Democratic investigations likely to target defense, tech, and financial firms

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Companies in tech, healthcare, finance, as well as those with direct exposure to President Donald Trump’s administration, face the most acute near-term risk from a Democratic-controlled investigative apparatus in the next Congress.
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Even without executive branch cooperation, civil enforcement via the courts remains a real and underappreciated threat for private-sector targets, alongside reputational, regulatory, business, and financial risks.
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Exposed companies should assess their risk now, identify the relevant committee or committees of jurisdiction, and prepare an engagement strategy that includes document retention procedures and legal representation.

The private sector will be the primary discovery target of congressional investigations. Trump’s alleged personal corruption will be the common throughline linking Congress’s investigations after the midterms. With executive privilege expected to be broadly invoked for the administration's own officials, investigators will turn to private-sector entities for records and testimony. Even without a corruption link, the transactional dealmaking embraced by the administration risks turning into a reputational, regulatory, and potentially legal liability.

Investigators will most likely target companies holding records relevant to regulatory decisions, contract awards, or financial arrangements with the Trump administration. Investigations present distinct legal risks, including criminal contempt and potential criminal investigation referrals. They can also trigger reputational, and material implications. Likely targets include:

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individuals representing government contractors, especially those who’ve won large contract awards since 2025;
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companies in which the government has taken equity stakes;
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financial services companies guaranteeing government contracts and/or stakes;
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companies donating to the White House ballroom project that have won government contracts or favorable rulings;
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companies whose executives have served in government, especially those linked to Elon Musk;
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and companies benefitting from regulatory rollbacks or dropped lawsuits, including crypto exchanges, airlines, media, and pharmaceutical companies, especially when investigators see signs of potential quid pro quo arrangements.

Other actions that will face scrutiny include investments made for favorable tariff terms, dismantling DEI programs, and tech sector cooperation on content moderation. Foreign firms and individuals may also draw scrutiny because of ties to these groups. However, committees usually conduct such outreach on a voluntary basis for entities without a US presence because Congress has few binding enforcement tools outside US jurisdiction. Similarly, foreign governments are much less exposed due to a lack of extraterritorial subpoena enforceability, political sensitivity, and diplomatic privilege claims.

Committees will seek voluntary cooperation before compulsion. Before committees launch investigations, they will leverage government research resources to gather information from the Congressional Research Service and Government Accountability Office, as well as other open sources such as court records. From there, informal staff-level outreach is typically the first step in an investigation. This outreach, up to and including member-level outreach and voluntary document requests, aims to elicit voluntary compliance and is a crucial first decision point for targeted entities. Importantly, this type of outreach is broadly applicable to US and non-US firms alike. Without voluntary cooperation, committees have an escalating set of tools to compel testimony and documents if needed. Their broader goal is usually to build a larger political narrative that culminates in public hearings and a written report. If that company resists, that resistance itself may become part of the narrative and damage the firm’s public standing.

DOJ enforcement gaps make subpoena contempt a limited threat. The strongest tool in congressional committees’ investigatory toolbox is the subpoena. Under a Democrat-controlled Congress and Republican White House, a witness who refuses to comply without a legally recognized privilege, such as executive privilege or attorney-client privilege, would likely face little immediate risk from a criminal contempt referral. Trump’s DOJ has discretion not to prosecute such referrals and is likely to do so in order to insulate the president’s political agenda and allies.

This enforcement gap, however, does not confer investigatory immunity on targets of congressional inquiry: Even without DOJ cooperation, Congress retains the ability to file civil enforcement actions in federal courts. Congress can also detain non-compliant witnesses (utilizing a chamber Sergeant-at-Arms) under its inherent contempt powers, though this mechanism hasn’t been used in more than 80 years. More broadly, Congress can impose political and reputational costs: the evidentiary and reputational exposure of resisting a congressional subpoena in civil proceedings can impose significant costs even without a criminal outcome and, politically, plays in the favor of investigators.

While not meant to serve as legal advice, as companies prepare for investigations to dominate the headlines, we recommend a few political guiding principles to keep in mind while navigating the lame duck period and the 120th Congress:

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Firms concerned about investigations should begin to gather facts and formulate clear, truthful explanations of their participation in unconventional government initiatives.

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Proactive engagement, including voluntary document production or briefings, can shape the investigative frame more than reactive compliance.

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Resistance is more likely to create reputational damage than mitigate it; transparency is the best hedge against appearing partisan but carries legal and financial risks. Firms should be mindful that responses to Congress could be used in regulatory and civil investigations; they should coordinate with counsel to ensure consistency.

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While Democrats will be in power and leading investigations, the White House still holds many of the levers that prompted transactional deals in the first place. Bipartisan engagement remains critical and firms need to avoid antagonizing a politically wounded president.

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A balanced approach is the best hedge against future political pendulum swings in 2028 and beyond.

Politically, affordability will remain sensitive issue for American households. With populist economics likely driving US politics in the near term, corporate leaders will need to demonstrate a commitment to address these concerns, and dispel the narrative that they have bought policies that benefit their firms at the expense of ordinary Americans.

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